



UNIVERSITY OF AMSTERDAM
Amsterdam Business School

Picture source: https://starwars.fandom.com/wiki/Duel_on_Cloud_City

WiFi: UvA
Password: UvA-DLM!

MScBA: Ethics and the Future of Business

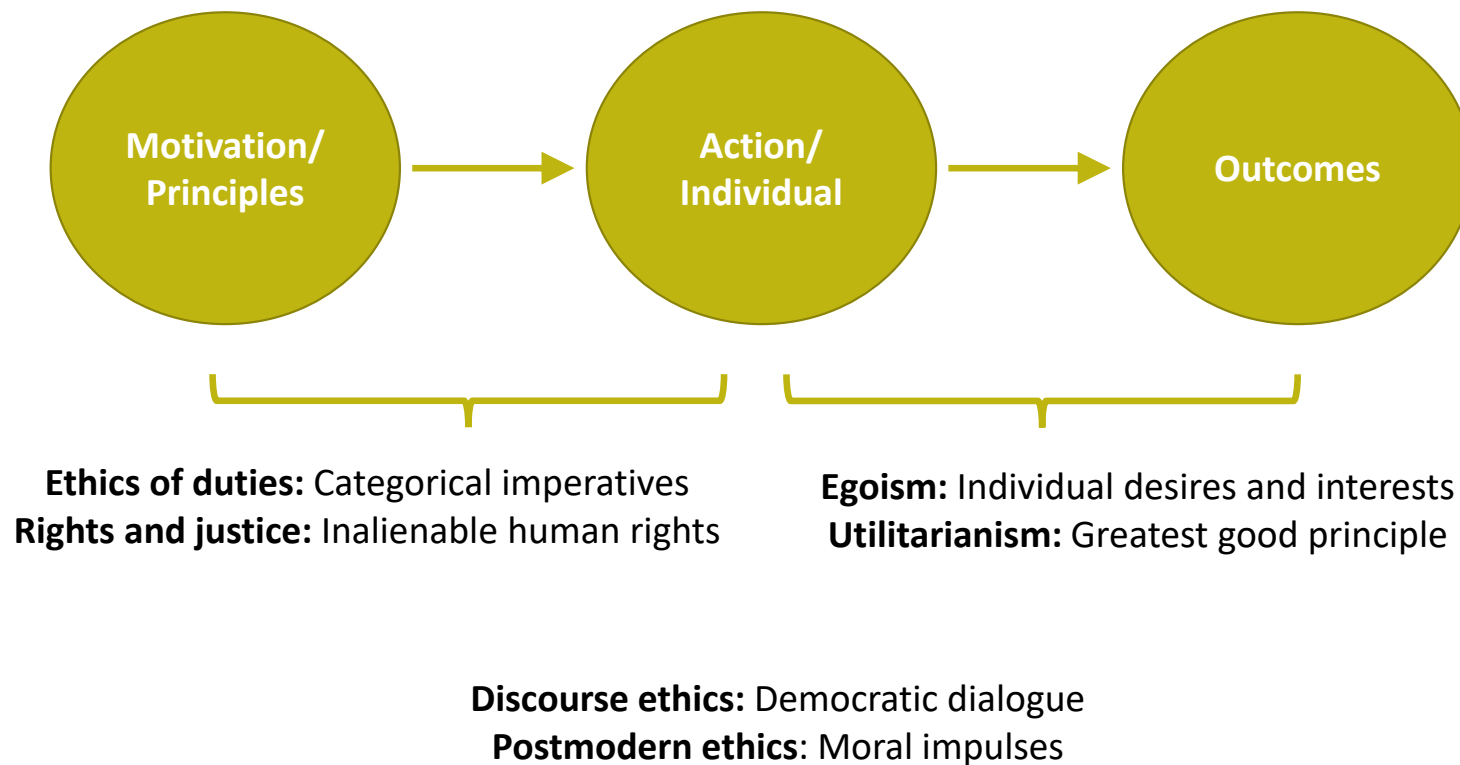
SESSION 2: **BEHAVIORS & ACTIONS**

Arno Kourula – 2 September 2026



Recap: Session 1

Virtue ethics: Virtuous character
Ethics of care: Empathy and relationships



Source: Adapted from Crane, A. et al., 2019. Business ethics: managing corporate citizenship and sustainability in the age of globalization (5th ed.). Oxford University Press.

Follow-up on moral machine (Bigman & Grey, 2020)

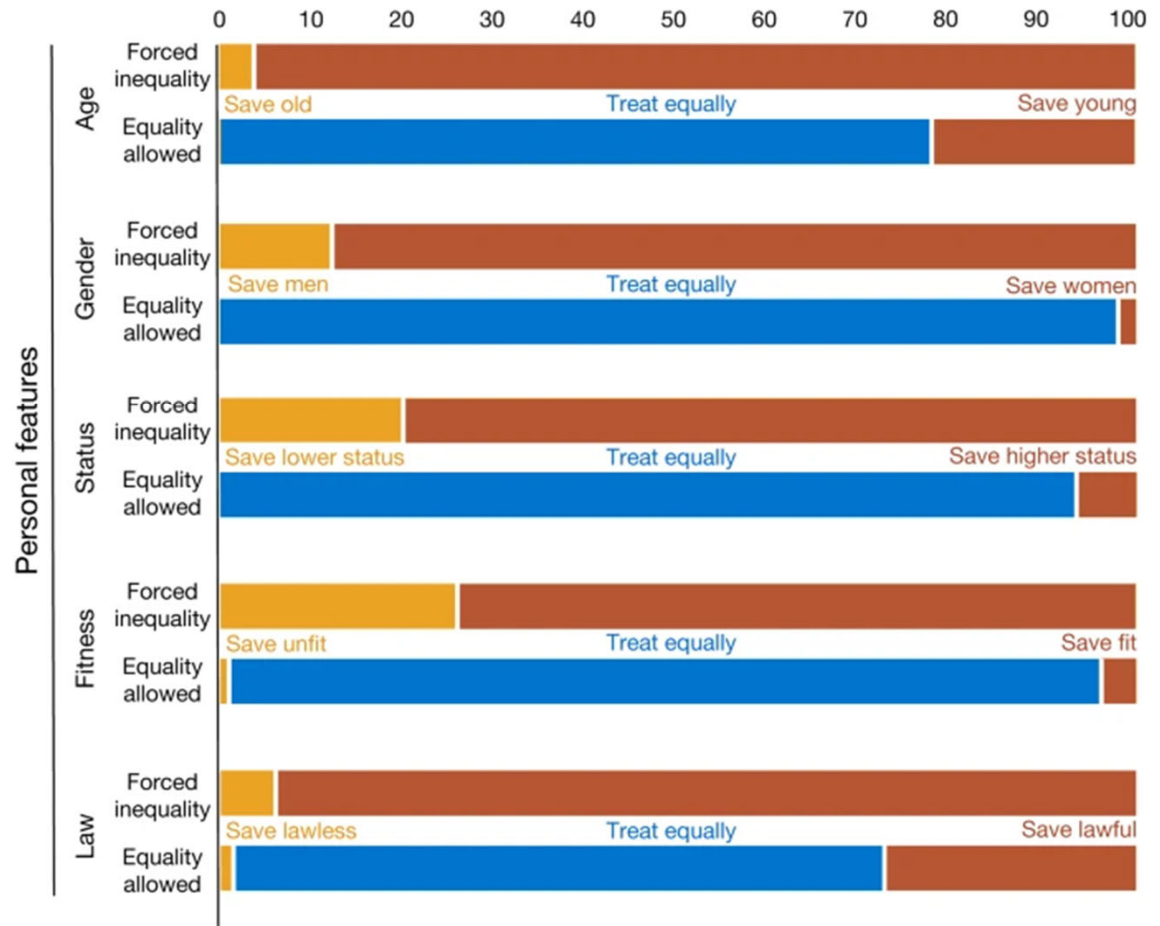
Different theories, different perspectives:

- Egoism: Impact on the individual decision-maker.
- Utilitarianism: Calculation of cost/benefit for the greatest amount of good for the greatest number of people.
- Rights: Not possible to discriminate.
- Kantian: Sacrificing one life for another is very problematic. It can be seen as treating the sacrificed as a means to an end (dignity). It is difficult to find moral justification for using a person's characteristics to make a choice (universality).

Critique of Moral Machine:

www.nature.com/articles/s41586-020-1987-4

Fig. 1: People's choices for how autonomous vehicles should be programmed to act in situations where human lives are at stake (study 1).



Agenda for today

1. Descriptive theories in ethics

- Ethical decision-making process
- Individual and situational factors

2. Intuition vs. rationality

- Cognitive biases

3. Ethics in action

- Business ethics tools
- Responsible and ethical AI

4. Recap



1. Descriptive ethical theories

Photo from Yale Univ. Manuscripts and Archives, via <https://allthatsinteresting.com/milgram-experiment>



Corporate Scandals and the Dark Pattern (Palazzo & Hoffrage 2025)



www.businessinsider.com/the-history-of-silicon-valley-unicorn-theranos-and-ceo-elizabeth-holmes-2018-5



www.theguardian.com/business/us-money-blog/2016/oct/07/wells-fargo-banking-scandal-financial-crisis



www.nytimes.com/2012/01/13/technology/foxconn-resolves-pay-dispute-with-workers.html



www.bbc.com/news/business-63003632



www.managementtoday.co.uk/i-hired-fix-ubers-toxic-culture-i-did-heres-i-learned/leadership-lessons/article/1688566



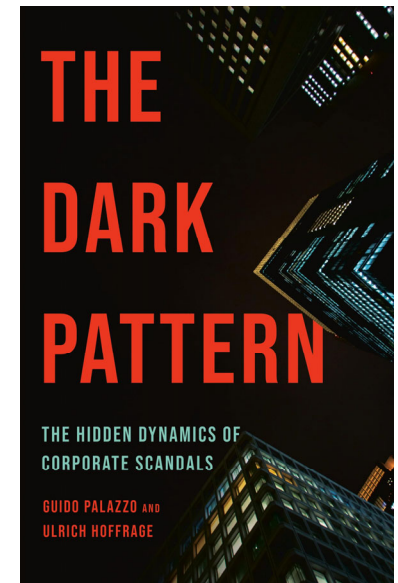
www.theguardian.com/world/2009/oct/15/france-telecom-suicide-lannion



www.whichcar.com.au/car-advice/dieselgate

Interconnected building blocks (background and not for exam):

1. Rigid Ideology
2. Toxic Leadership
3. Manipulative Language
4. Corrupting Goals
5. Destructive Incentives
6. Ambiguous Rules
7. Perceived Unfairness
8. Dangerous Groups
9. Slippery Slope



www.hachettebookgroup.com/titles/guido-palazzo-ph-d/the-dark-pattern/9781541705326/



Money division game

You need to divide 100 euros between yourself and someone you don't know. You don't know where the money is coming from ("money from the heavens"). You don't know anything about the other person you are dividing the money with. Thus, neither you nor the one you are dividing the money with does not have any particular right to the money.

If the person you are dividing the money with accepts your offer, both of you get the share of the money as you divided it. If the person you are dividing the money with does not accept your offer, neither gets anything. The game is played only once. Everyone involved knows the amount of money involved and the rules of the game.

Questions:

1. If you are the one dividing the money, what kind of division would you offer?
2. What would be the minimum amount of money you would accept as the other person?

Economic decision-making

Economic view:

The motive of human decision-making is their own economic interest and well-being. Humans are perceived as rational.

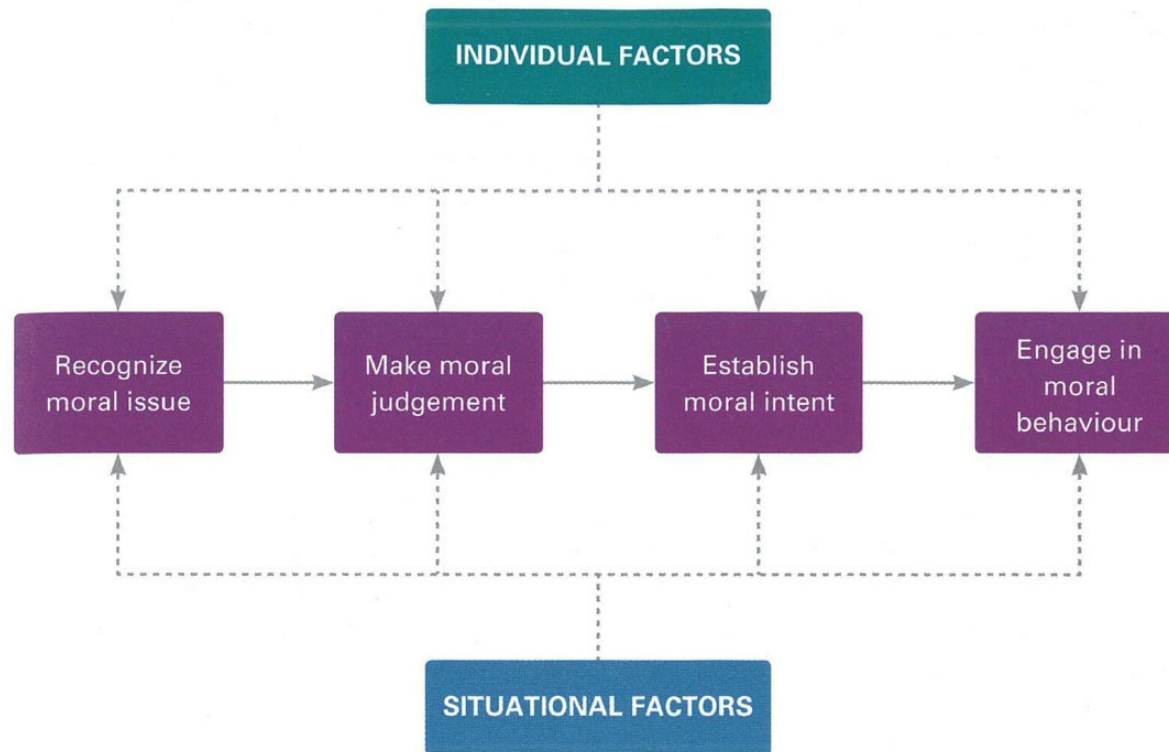
In practice:

1. People care about their economic interest.
2. People consider the interests of people close to them.
3. People will sacrifice their own economic interest to help those who are friendly and punish unfriendly people.
4. People consider the welfare of strangers when making decisions.
5. People are interested in their reputation.
6. People care about the self-image.



Source: www.media.uzh.ch/en/Press-Releases/2019/Moral.html

Ethical decision-making process



Source: Rest, 1986, In Jones, I.M. 1991. Ethical decision making by individuals in organizations: an issue-contingent model. *Academy of Management Review*, 16: 366-95. As presented in Crane, A. et al., 2019. *Business ethics: managing corporate citizenship and sustainability in the age of globalization* (5th ed.). Oxford University Press.

Individual factors in ethics

- **Age and gender:** Very mixed results.
- **Education and employment:** Business school students argued to have more egoistic values and amoral view of economy. Experience brings decision-making skills.
- **Psychological factors:** Cognitive moral development (Kohlberg's stages: 1. Rewards and punishments, 2. social expectations, 3. autonomous thinking) and locus of control (internal vs. external).
- **Personal values and integrity:** Holding to your own ethical principles and values. → Impact on whistleblowing.
- **Moral imagination:** Seeing the decision as ethical, and imagining alternative solutions.

National and cultural characteristics

People from different cultures have different perceptions about right and wrong, which cause differences in ethical decisions. Hofstede defines cultural dimensions:

1. **Individualism/collectivism**
 2. **Power distance**
 3. **Uncertainty avoidance**
 4. **Masculinity/femininity**
 5. **Long-term/short-term time orientation**
 6. **Indulgence**
-
- Individualistic background supports independent decision-making.
 - Collectivist background can lead to mirroring the common morality.
 - Hierarchy can lead to following an executive's orders.

Website: www.hofstede-insights.com/product/compare-countries



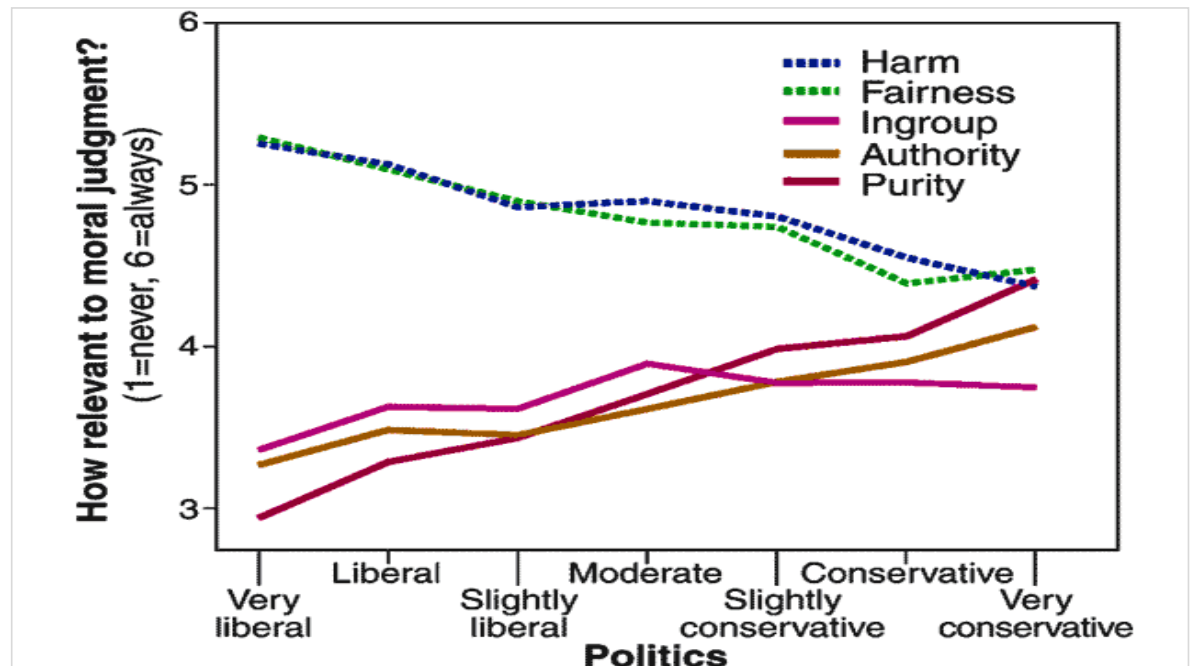
National and cultural characteristics



Website: www.hofstede-insights.com/product/compare-countries

Intra-cultural divides

Within cultures, there is a divide between individualizing and binding moral orientations, which cause “**culture wars**”.



Haidt, J. 2007. The New Synthesis in Moral Psychology. *Science*, 316(5827), 998-1002.

Iyer, R., Koleva, S., Graham, J., Ditto, P., & Haidt, J. 2012 Understanding libertarian morality: The psychological dispositions of self-identified libertarians. *PLoS ONE*, 7(8).

Situational factors in ethics

Situational factors are seen to affect ethical decision-making more than individual factors.

Example of the **good samaritan experiment** (Darley & Batson 1973):

- Seminary students
- In one building, asked to go to another building.
- On the way they meet a man slumped in the alleyway.
- A part of the students were asked to perform tasks in the other building.
- The level of “hurriness” had a significant impact on helping behavior: 63% of low hurry helped compared to 10% of high hurry.

Source: Darley, J. M., & Batson, C. D. (1973). "From Jerusalem to Jericho": A study of situational and dispositional variables in helping behavior. *Journal of Personality and Social Psychology*, 27(1), 100-108.

Nature of the moral question

Moral intensity: The following factors can determine the relative importance of a moral issue (Jones 1991):

- Magnitude of consequences
- Social consensus
- Probability of effect
- Temporal immediacy
- Moral proximity
- Concentration of effect

Nature of the moral question

Moral framing: How a problem is presented (Anand et al., 2004).

Rationalizing Corruption

Strategy	Description	Examples
Denial of responsibility	The actors engaged in corrupt behaviors perceive that they have no other choice than to participate in such activities.	<i>"What can I do? My arm is being twisted."</i> <i>"It is none of my business what the corporation does in overseas bribery."</i>
Denial of injury	The actors are convinced that no one is harmed by their actions; hence the actions are not really corrupt.	<i>"No one was really harmed."</i> <i>"It could have been worse."</i>
Denial of victim	The actors counter any blame for their actions by arguing that the violated party deserved whatever happened.	<i>"They deserved it."</i> <i>"They chose to participate."</i>
Social weighting	The actors assume two practices that moderate the salience of corrupt behaviors: 1. Condemn the condemner, 2. Selective social comparison.	<i>"You have no right to criticize us."</i> <i>"Others are worse than we are."</i>
Appeal to higher loyalties	The actors argue that their violation of norms is due to their attempt to realize a higher-order value.	<i>"We answered to a more important cause."</i> <i>"I would not report it because of my loyalty to my boss."</i>
Metaphor of the ledger	The actors rationalize that they are entitled to indulge in deviant behaviors because of their accrued credits (time and effort) in their jobs.	<i>"We've earned the right."</i> <i>"It's all right for me to use the Internet for personal reasons at work. After all I do work overtime."</i>

Anand, V., Ashforth, B.E., Joshi, M., & Martini, P.J. 2004. Business as Usual: The Acceptance and Perpetuation of Corruption in Organizations. Academy of Management Executive, 18(2), 39-55.

Context of the moral question

- **Systems of reward:** Concretizes ethics.
- **Authority:** Affects behavior (e.g., Milgram obedience experiment?).
- **Bureaucracy:** Suffocates moral autonomy, makes morality instrumental, and distances the consequences of action.
- **Work roles:** Create expectations.
- **Organizational culture:** Provides context and direction for decision-making (e.g., Enron).
- **National and cultural context:** Likely to influence behavior.

What is an ethical dilemma?

An ethical dilemma is a situation which is experienced as “**uneasy**”, where you have to **choose** between two or more actions (e.g., to act or not act) and these options involve **moral/ethical aspects**.



Photo by Jeremy Bishop on Unsplash

Ethical challenges (Agle, Miller & O'Rourke, 2016)

1. Standing up to power
2. Made a promise (and the world has changed)
3. Intervention
4. Conflicts of interest
5. Suspicions without enough evidence
6. Playing dirty
7. Skirting the rules
8. Dissemblance
9. Loyalty
10. Sacrificing personal values
11. Unfair advantage
12. Repair
13. Showing mercy

Source: Agle, B., Miller, A., & O'Rourke, B. 2016. The business ethics field guide.



Reflection exercise

Based on an ethical situation or dilemma you have faced...

Think of key factors that **may have affected** your ethical decision-making:

A) **Individual level factors** (such as age and personal values)?

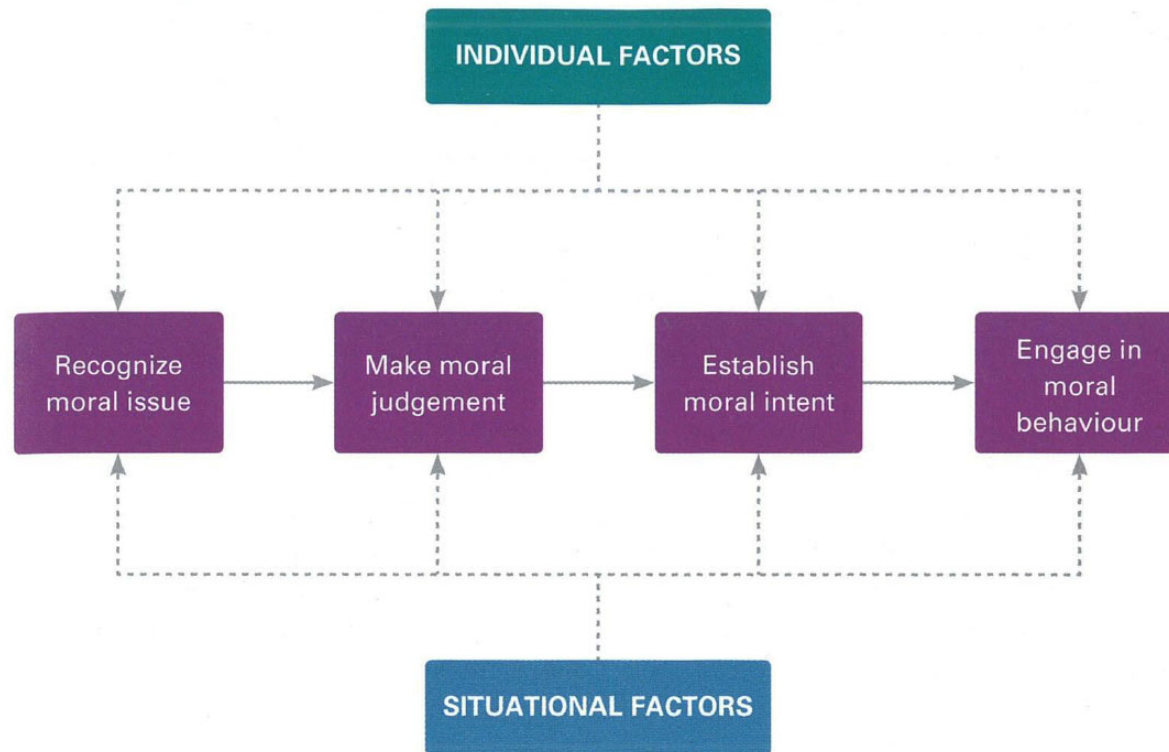
B) **Situational factors** (such as organizational culture or national culture)?

2. Cognitive biases

Picture source: www.whatispsychology.net/what-are-the-zimbardo-prison-experiment-ethical-issues/

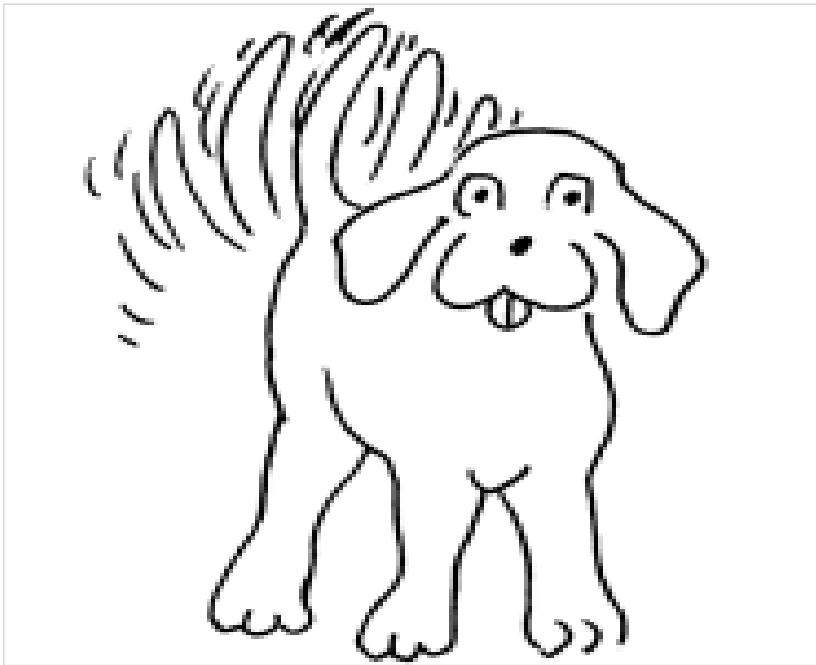


Ethical decision-making process



Source: Rest, 1986, In Jones, I.M. 1991. Ethical decision making by individuals in organizations: an issue-contingent model. *Academy of Management Review*, 16: 366-95. As presented in Crane, A. et al., 2019. *Business ethics: managing corporate citizenship and sustainability in the age of globalization* (5th ed.). Oxford University Press.

Rationality and emotions?



Picture source: <http://e-nielsee0912-dc.blogspot.com/2011/02/dog-wagging-tail-illustrations-to-get.html>

Haidt, J. (2001). The emotional dog and its rational tail: A social intuitionist approach to moral judgment. *Psychological review*, 108(4). 814-834.

Let's put it to the test!

- Go to:
<https://implicit.harvard.edu/implicit/takeatest.html>
(project implicit website).
 - Click "I wish to proceed".
 - Click "Gender-Career IAT", then "continue".
 - Click "decline" on all demographic information and further questions.
 - Follow the instructions.
 - Let's see if you have implicit biases!
 - **Note: One test is only a start!**
- **What are the implications of implicit associations and cognitive biases?**



Picture source: www.medicalnewstoday.com/articles/324998.php

Unintentional unethical decision-making

1. Implicit forms of prejudice

- In recruitment, interview invitations varied significantly depending on your name.

2. Bias that favors one's own group

- Small acts of in-group favoritism add up!

3. Tendency to overclaim credit

- MBA groups averaged 139% of work! Who does more housework at home?
- 90% of people consider themselves to be better than average drivers? In a study, 90% of college professors rated themselves as better than average teachers.

4. Conflict of interest

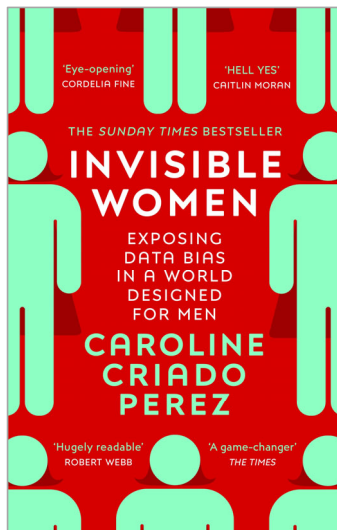
- If you are financially incentivized to increase or prolong business, you may do it at the client's expense or choose to disregard unethical behavior (e.g., accountants, lawyers, analysts).

→ Look at the **business system**, not the individual facing bias.

→ **Data & metrics** (over time), identification of **bias type**, gather experiences, conduct **thought experiments** (veil of ignorance), **leadership**, language and **tweaks**.

Source: Banaji, M.R, Bazerman, M.H., & Chugh, D. 2003. How (un)ethical are you? Harvard Business Review, December 2003.

Recommended reading (1 of 2)

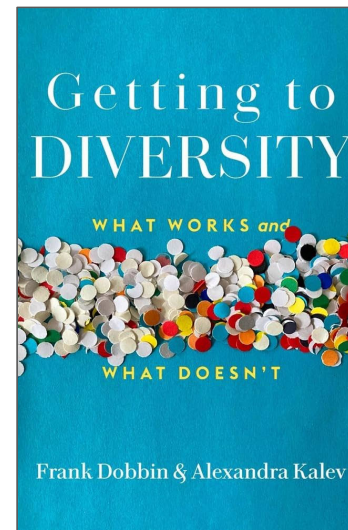


Source:

www.penguin.com.au/books/invisible-women-9781784706289

Biases in data and design:

Many products, services and systems are designed with a universal human in mind. This universal human tends to be a middle-sized, affluent, adult white male.



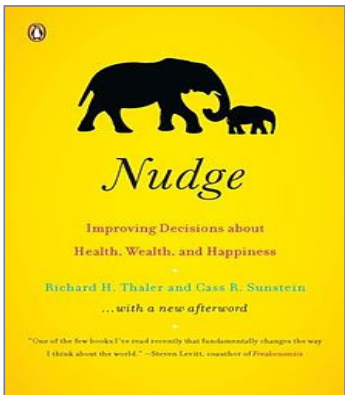
Source:

www.hup.harvard.edu/books/9780674276611

Diversity programs:

Traditional corporate diversity efforts fail because they target individual bias rather than organizational systems (30+ years of data, 800+ companies).

Recommended reading (2 of 2)



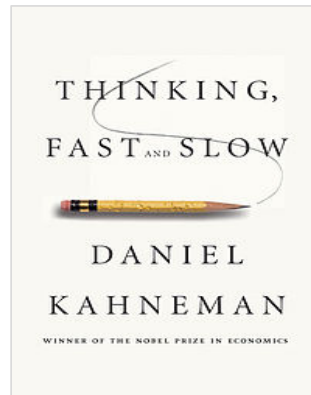
Source:
[https://en.wikipedia.org/wiki/Nudge_\(book\)](https://en.wikipedia.org/wiki/Nudge_(book))

Question:

How can we design our environments to help people make better decisions for themselves without taking away their freedom to choose?

Answer:

Nudges and choice architecture.



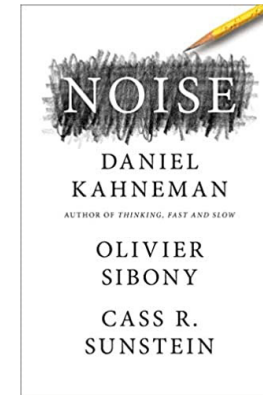
Source:
https://en.wikipedia.org/wiki/Thinking,_Fast_and_Slow

Question:

How do our minds make judgments and decisions, and why are we so often predictably irrational?

Answer:

Two systems of thought: 1) fast, intuitive, 2) effortful, slow (trying to control)



Source:
https://en.wikipedia.org/wiki/Thinking,_Fast_and_Slow

Question:

Why is there variability in judgments that should be identical?

Examples:

Doctors' diagnoses, judges' sentences, food inspectors, customer service agents, etc.

Countless examples of heuristics, biases, overconfidence, and noise in decision-making!

Cognitive biases (1 of 3)

A **cognitive bias** is a systematic pattern of deviation from rationality in judgment. Cognitive biases can lead to perceptual distortion, inaccurate judgment, and irrationality.

Example:
Past or suggested salary in recruitment situations

1. Anchoring bias.

People are **over-reliant** on the first piece of information they hear. In a salary negotiation, whoever makes the first offer establishes a range of reasonable possibilities in each person's mind.



2. Availability heuristic.

People **overestimate the importance** of information that is available to them. A person might argue that smoking is not unhealthy because they know someone who lived to 100 and smoked three packs a day.



3. Bandwagon effect.

The probability of one person adopting a belief increases based on the number of people who hold that belief. This is a powerful form of **groupthink** and is reason why meetings are often unproductive.



4. Blind-spot bias.

Failing to recognize your own cognitive biases is a bias in itself. People notice cognitive and motivational biases much more in others than in themselves.



5. Choice-supportive bias.

When you choose something, you tend to feel positive about it, even if that **choice has flaws**. Like how you think your dog is awesome — even if it bites people every once in a while.



6. Clustering illusion.

This is the tendency to **see patterns in random events**. It is key to various gambling fallacies, like the idea that red is more or less likely to turn up on a roulette table after a string of reds.



7. Confirmation bias.

We tend to listen only to information that confirms our **preconceptions** — one of the many reasons it's so hard to have an intelligent conversation about climate change.



8. Conservatism bias.

Where people favor prior evidence over new evidence or information that has emerged. People were **slow to accept** that the Earth was round because they maintained their earlier understanding that the planet was flat.



Example:
Views on climate change are affected by political orientation

Sources: Definition adapted from https://en.wikipedia.org/wiki/Cognitive_bias/
<https://www.businessinsider.com/cognitive-biases-that-affect-decisions-2015-8>

Cognitive biases (2 of 3)

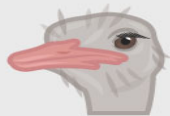
9. Information bias.

The tendency to **seek information when it does not affect action**. More information is not always better. With less information, people can often make more accurate predictions.



10. Ostrich effect.

The decision to **ignore dangerous or negative information** by “burying” one’s head in the sand, like an ostrich. Research suggests that investors check the value of their holdings significantly less often during bad markets.



11. Outcome bias.

Judging a decision based on the **outcome** — rather than how exactly the decision was made in the moment. Just because you won a lot in Vegas doesn’t mean gambling your money was a smart decision.



12. Overconfidence.

Some of us are **too confident about our abilities**, and this causes us to take greater risks in our daily lives. Experts are more prone to this bias than laypeople, since they are more convinced that they are right.



13. Placebo effect.

When **simply believing** that something will have a certain effect on you causes it to have that effect. In medicine, people given fake pills often experience the same physiological effects as people given the real thing.



14. Pro-innovation bias.

When a proponent of an innovation tends to **overvalue its usefulness** and undervalue its limitations. Sound familiar, Silicon Valley?



15. Recency.

The tendency to weigh the **latest information** more heavily than older data. Investors often think the market will always look the way it looks today and make unwise decisions.



16. Salience.

Our tendency to focus on the **most easily recognizable features** of a person or concept. When you think about dying, you might worry about being mauled by a lion, as opposed to what is statistically more likely, like dying in a car accident.



Example: We have a tendency to look for new (technical) solutions, while sometimes getting rid of something might prove more effective.

Cognitive biases (3 of 3)

Example: We tend to have stereotypes about groups and persons which affect our behavior towards them.

17. Selective perception.

Allowing our expectations to **influence how we perceive** the world. An experiment involving a football game between students from two universities showed that one team saw the opposing team commit more infractions.



18. Stereotyping.

Expecting a group or person to have certain qualities without having real information about the person. It allows us to quickly identify strangers as friends or enemies, but people tend to **overuse and abuse** it.



19. Survivorship bias.

An error that comes from focusing only on surviving examples, causing us to **misjudge a situation**. For instance, we might think that being an entrepreneur is easy because we haven't heard of all those who failed.



20. Zero-risk bias.

Sociologists have found that **we love certainty** — even if it's counterproductive. Eliminating risk entirely means there is no chance of harm being caused.



SOURCES: Brain Biases; Ethics Unwrapped; Explorable; Harvard Magazine; HowStuffWorks; LearnVest; Outcome bias in decision evaluation, Journal of Personality and Social Psychology; Psychology Today; The Bias Blind Spot: Perceptions of Bias in Self Versus Others, Personality and Social Psychology Bulletin; The Cognitive Effects of Mass Communication, Theory and Research in Mass Communications; The less-is-more effect: Predictions and tests, Judgment and Decision Making; The New York Times; The Wall Street Journal; Wikipedia; You Are Not So Smart; ZhurnalyWiki

BUSINESS INSIDER

For a more comprehensive list of cognitive biases:

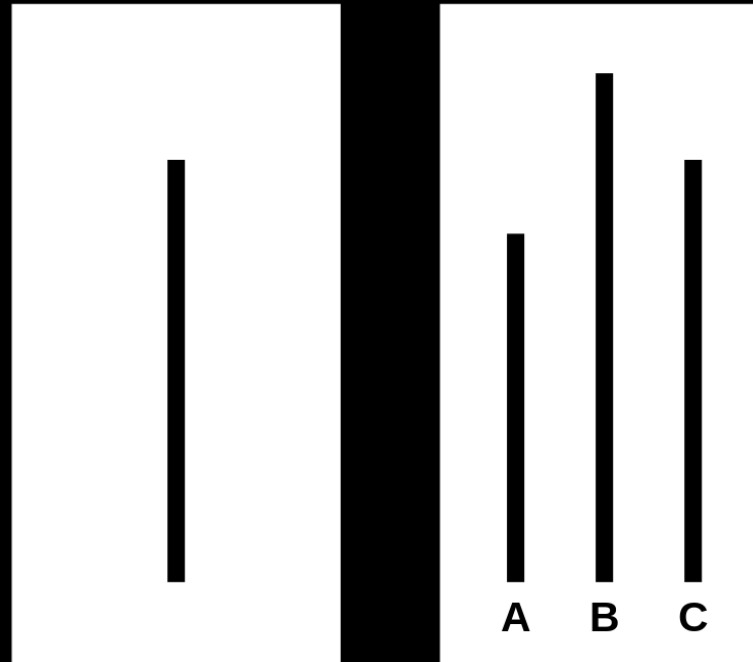
https://commons.wikimedia.org/wiki/File:Cognitive_bias_codex_en.svg

Source: <https://www.businessinsider.com/cognitive-biases-that-affect-decisions-2015-8>



3. Ethics in action

Picture source: https://en.wikipedia.org/wiki/Asch_conformity_experiments



Mission and values statements

Our mission

To improve people's lives through meaningful innovation.

Our vision

At Philips, we strive to make the world healthier and more sustainable through **innovation**. Our goal is to improve the **lives of 3 billion people** a year by 2030. We will be the best place to **work** for people who share our passion. Together we will deliver superior value for our **customers** and **shareholders**.



Our mission

"100% slave free the norm in chocolate."

(Chocolonely Foundation)

"Together we'll end exploitation in cocoa."

(Tony's Chocolonely)



Source: www.philips.com/a-w/about/company/our-strategy/how-we-create-value.html / Picture sources:

www.philips.com/consumerfiles/newscenter/main/standard/resources/corporate/press/2013/Brand/Philips-Shield.jpg / <https://tonyschocolonely.com/>

Purpose statements

“We are driven by our purpose: to make **sustainable living commonplace.**” (2020)

“Brighten everyday life for **all.**” (2026)



Source: www.unilever.com

“Our purpose is to drive change to **defeat serious chronic diseases**, built upon our heritage in diabetes. We do so by pioneering scientific breakthroughs, expanding access to our medicines and working to prevent and ultimately cure the diseases we treat.”



Source: www.novonordisk.com

Codes of ethics

Google code of conduct: Themes

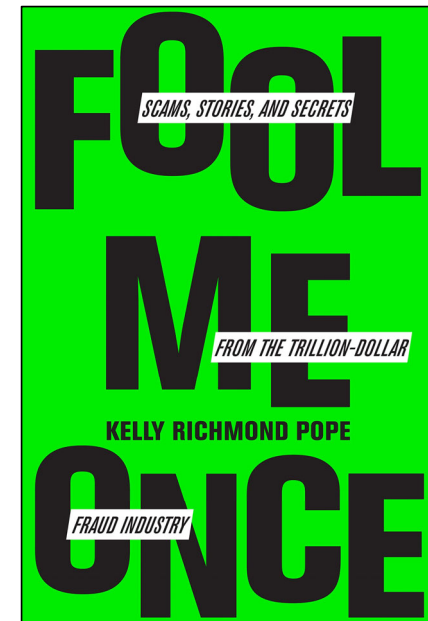
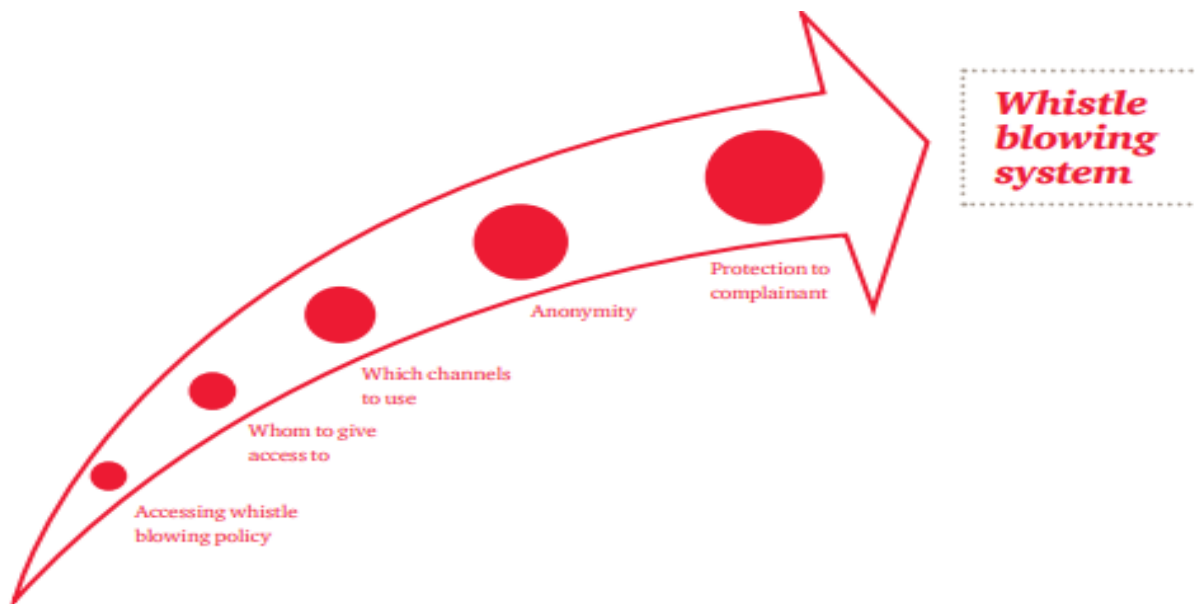


- ***Serve our users***
Integrity; usefulness; privacy, security and freedom of expression; responsiveness; take action.
- ***Support each other***
Principles; practice; equal opportunity employment; harassment, discrimination and bullying; drugs and alcohol; safe and healthy workplace; dog policy.
- ***Avoid conflicts of interest***
Personal investments; outside employment; advisory roles, board seats, and starting your own business; business opportunities found through work; inventions; friends and relatives; co-worker relationships; accepting gifts, entertainment, and other business courtesies; use of company products and services; reporting.
- ***Preserve confidentiality***
Confidential Information; partners; data; competitors/former employers; outside communications.
- ***Protect company assets***
Intellectual property; company equipment; network; physical security, use of equipment and facilities; employee data.
- ***Ensure financial integrity and responsibility***
Spending company money; signing a contract; recording transactions, reporting financial or accounting irregularities; hiring suppliers; retaining records.
- ***Obey the law***
Trade controls; competition laws; insider trading laws; anti-bribery laws; non-government relationships; dealing with government officials.

“And remember... don’t be evil, and if you see something that you think isn’t right – speak up!”

Source: <https://abc.xyz/investor/other/google-code-of-conduct/>

Whistleblowing: effective tool to combat misbehavior?



Source: www.pwc.in/assets/pdfs/services/forensic-services/whistleblowing-aneffectivemeanstocombateconomiccrime.pdf / <https://www.kellyrichmondpope.com/>

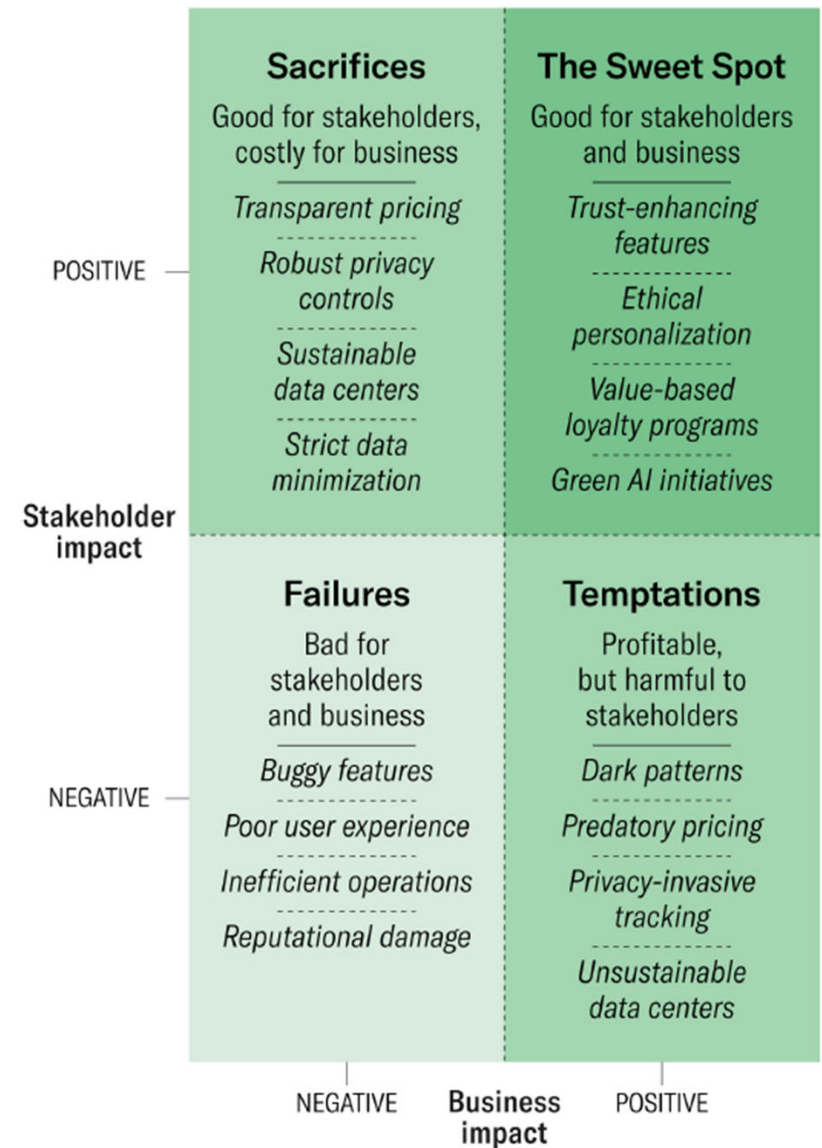
Responsible and ethical AI

Paradox of AI:

- “The same capabilities that let firms personalize at scale, automate service delivery, and generate operational insight are the ones that surveil, manipulate, and discriminate.”

Corporate Digital Responsibility (CDR) Calculus:

- Every significant AI deployment sits in the matrix, balancing between performance (doing well) and customer well-being (doing good).

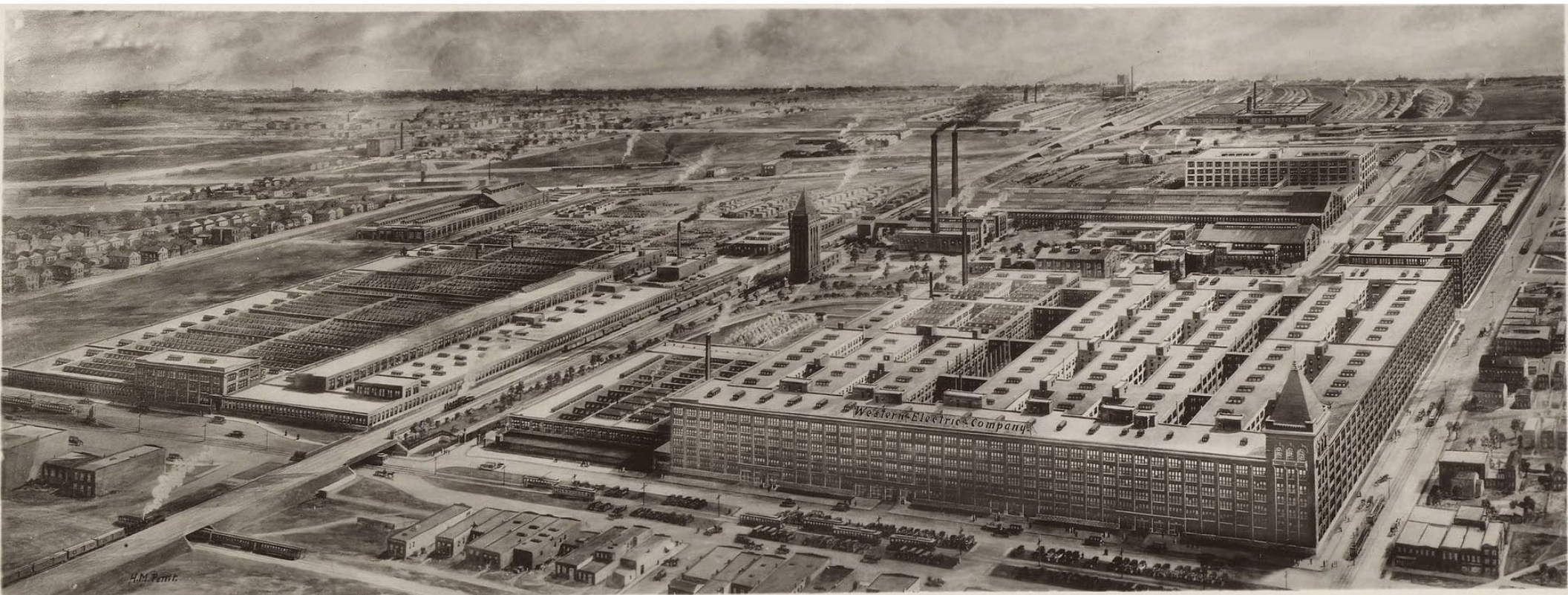


Source: Wade, M., & Wirtz, J. 2026. Responsible AI Is becoming a growth strategy. Harvard Business Review, July, 2026.



4. Recap

Picture source: <https://unikavaev.com/blog/the-hawthorne-effect/>



Recap

1. Descriptive theories in ethics

- Ethical decision-making process
- Individual and situational factors

2. Intuition vs. rationality

- Cognitive biases

3. Ethics in action

- Business ethics tools
- Responsible and ethical AI

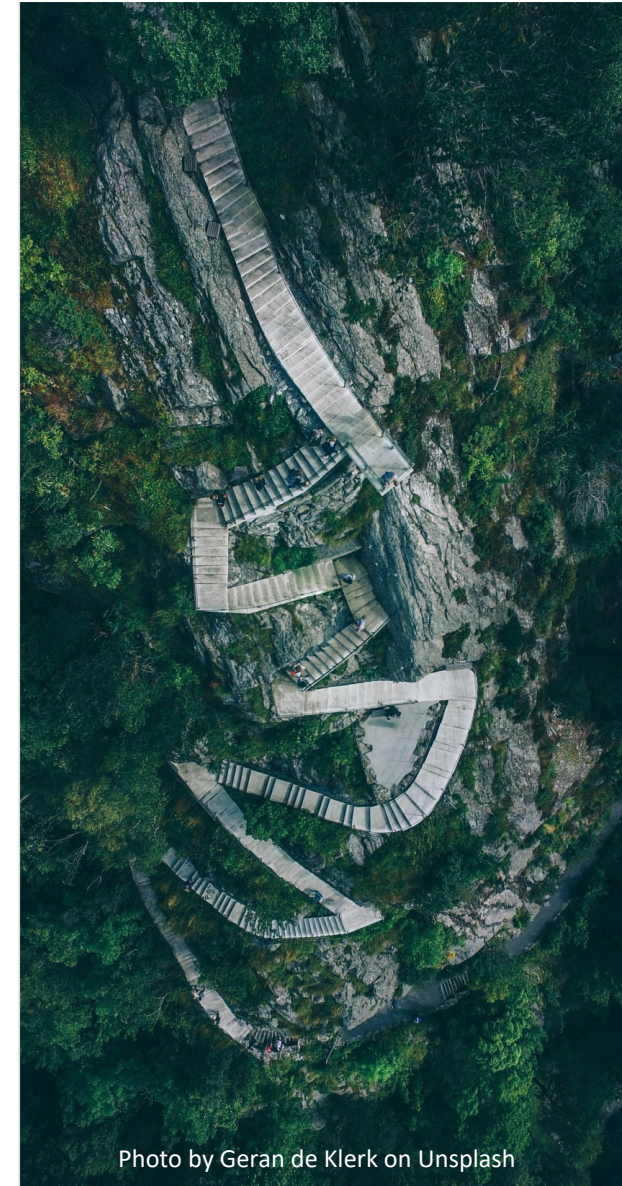


Photo by Geran de Klerk on Unsplash